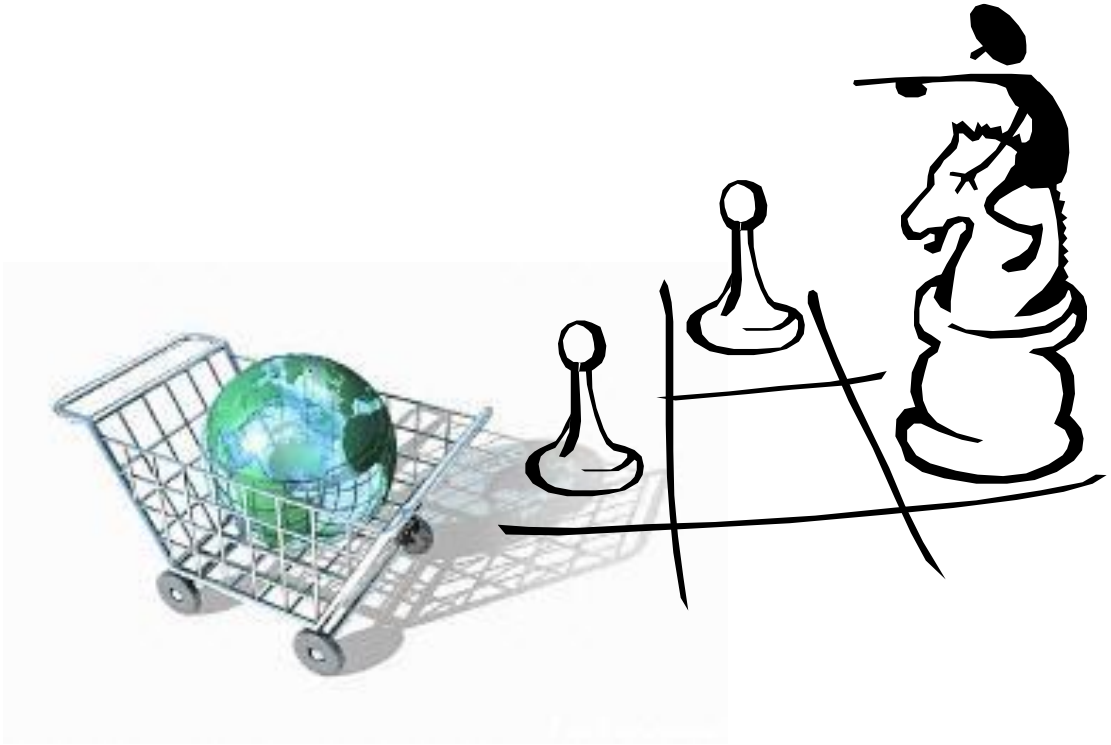
6BUIS018W – Information Driven Entrepreneurship and Enterprise



Lecture 3

E-business Strategy

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E-business strategy

Recommended further reading:

Dave Chaffey, Tanya Hemphill, and David Edmundson-Bird: **Digital Business and E-Commerce Management, *7th ed. Pearson Education, 2019.***

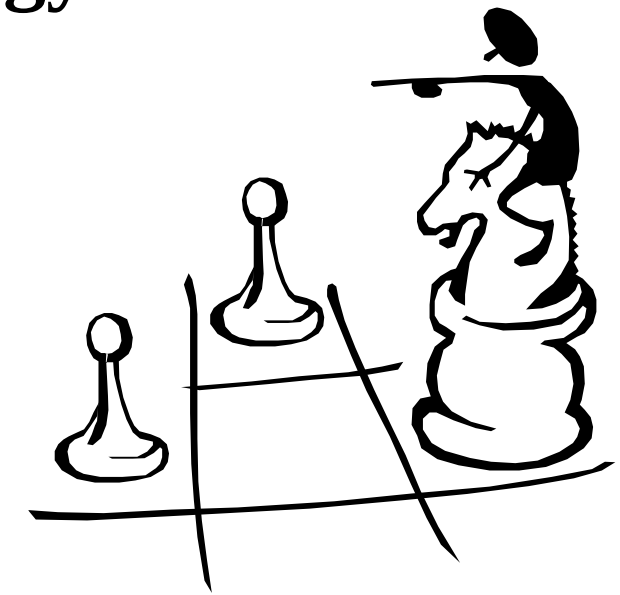
Chapter 5 – Digital business strategy

on-line access from the Library website



Business Strategy

What is Strategy?



There is no single, universally accepted definition.

Porter's definition (1980):

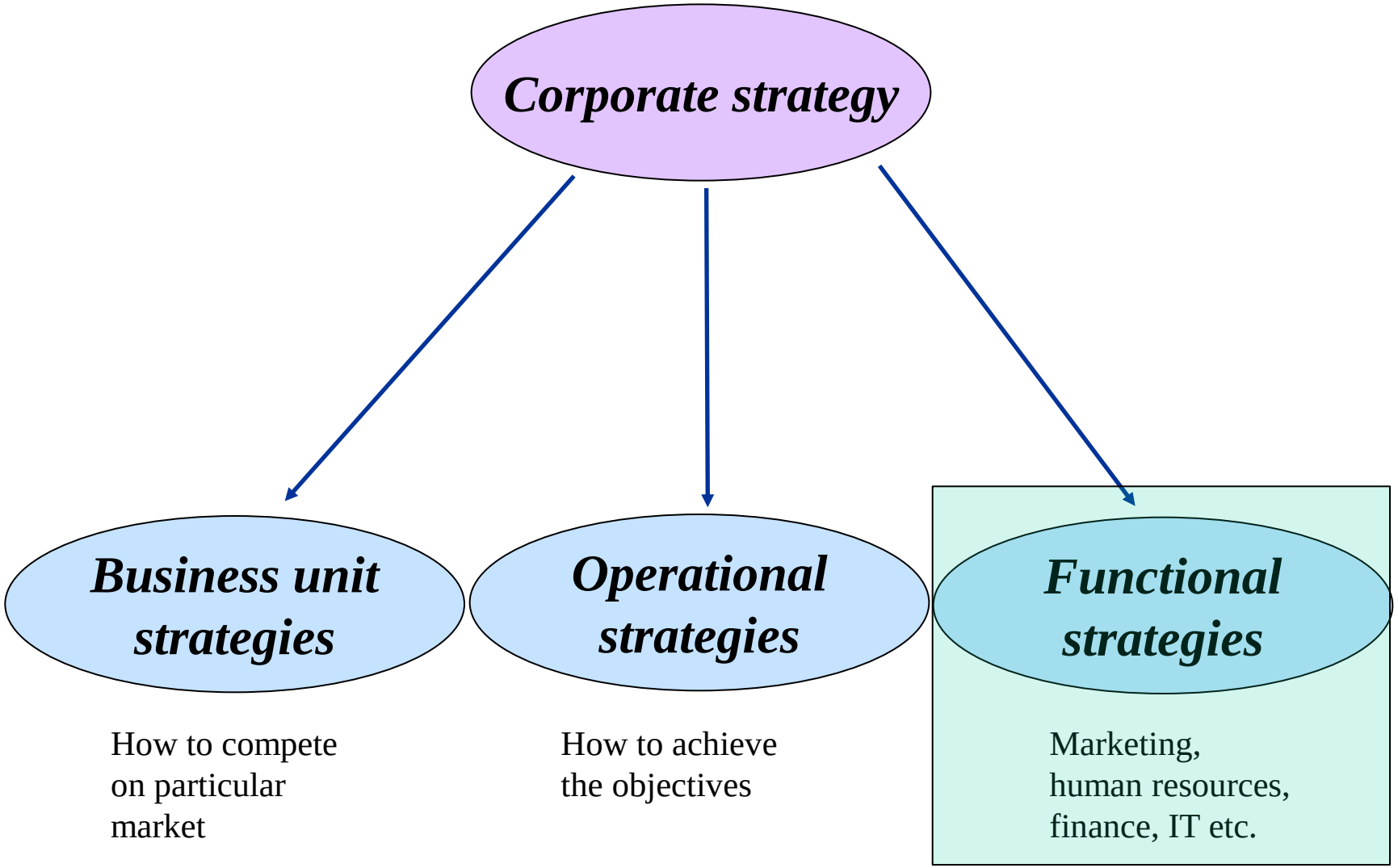
Strategy is a broad-based formula for how a business is going to compete, what its goals should be and what policies will be needed to carry them out.

Chaffey (2014):

Definition of the future direction and actions of a company defined as approaches to achieve specific objectives

Forms of organisational strategy

Overall purpose
and scope



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Where does e-business strategy fit?

- **Corporate business strategy**
  - **Functional strategies**
    - **Marketing strategy**
    - **Financial strategy**
    - **IT strategy**
      - **E-business strategy**
        - » **EB functional strategies**

EB marketing strategy

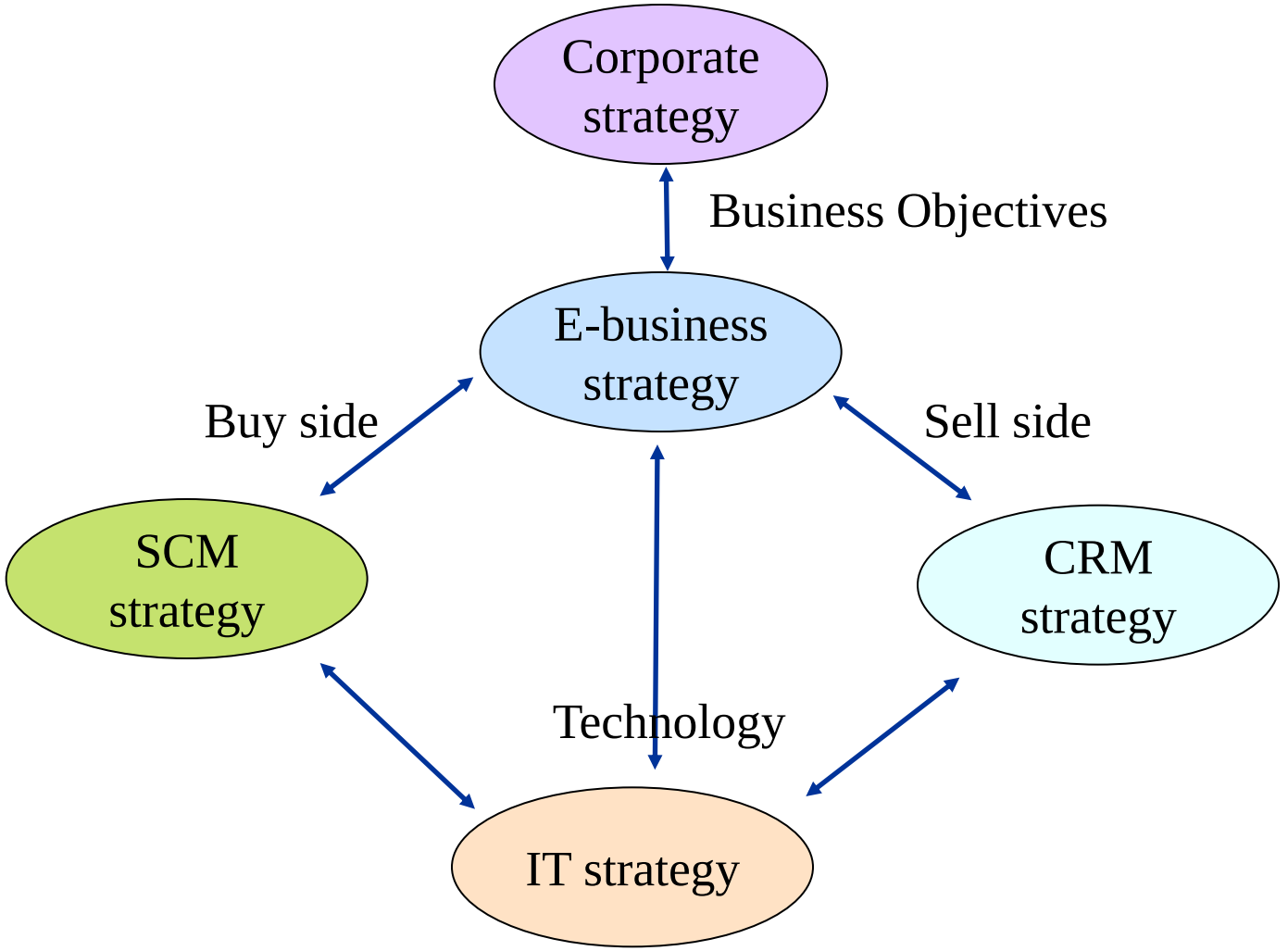
EB financial strategy

…

But sometimes E-business strategy needs to be considered at highest level too

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E-business, corporate and functional strategies

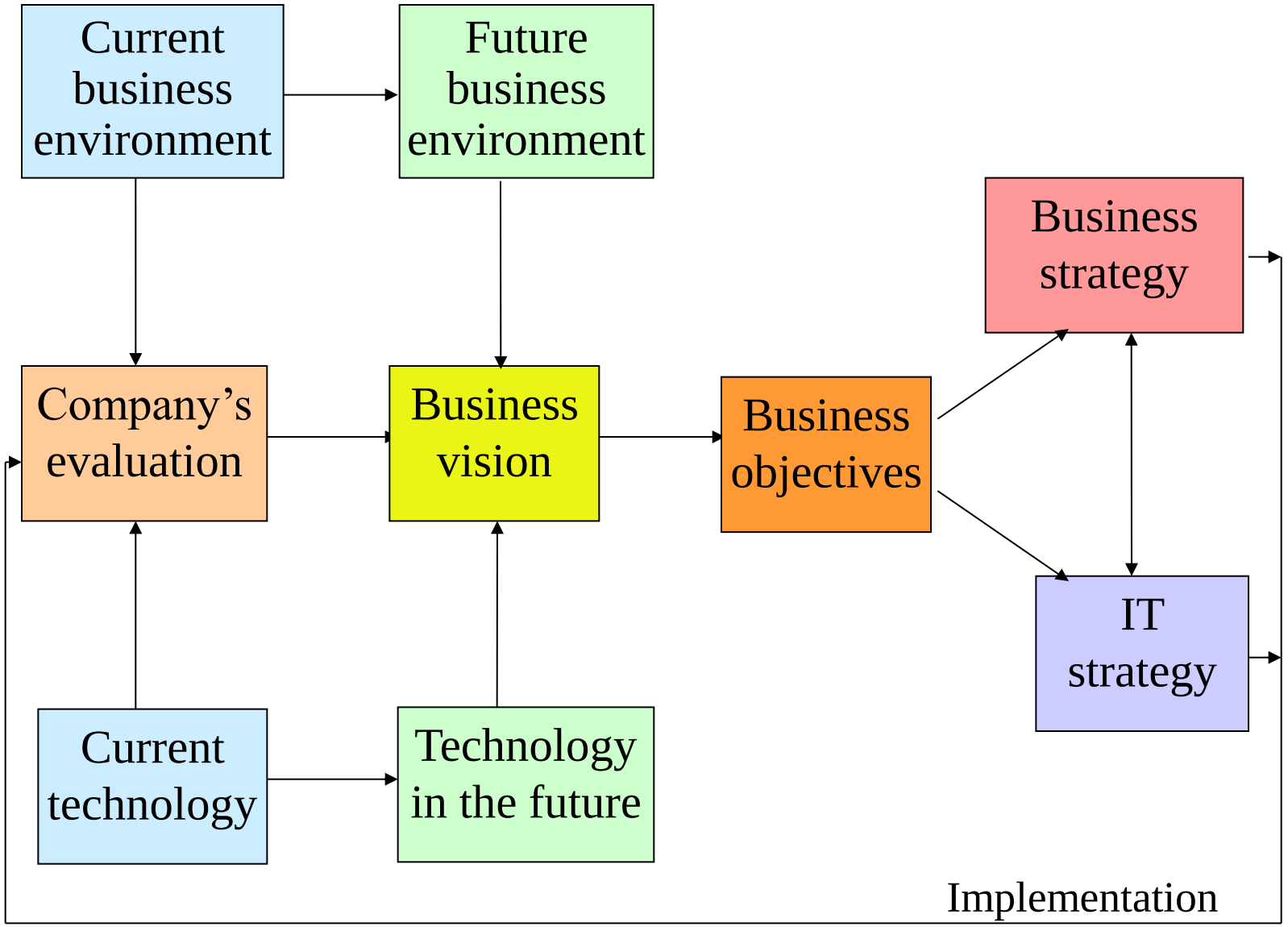


SCM: Supply Chain Management

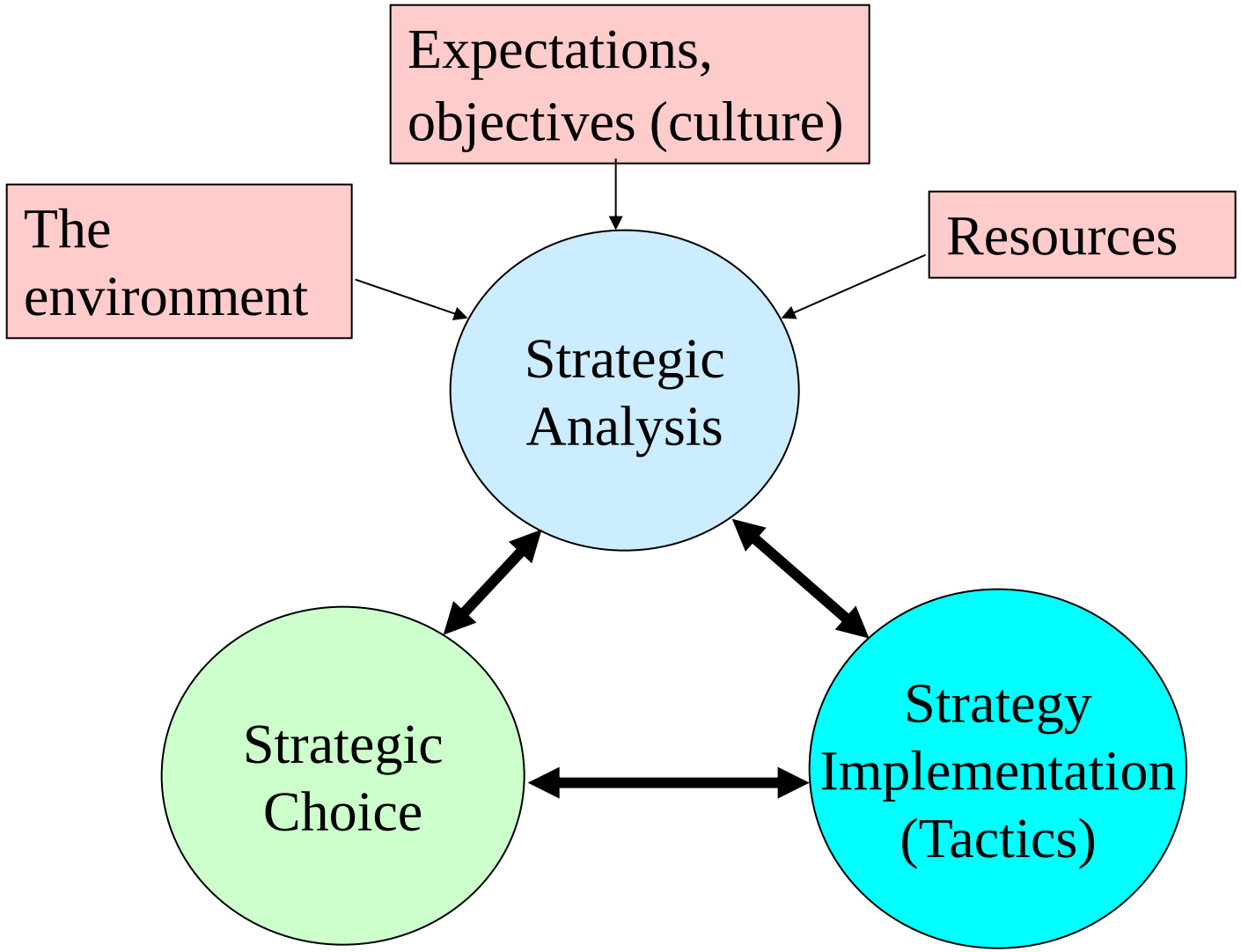
CRM: Customer Relationship Management

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Business Strategy and IT Strategy

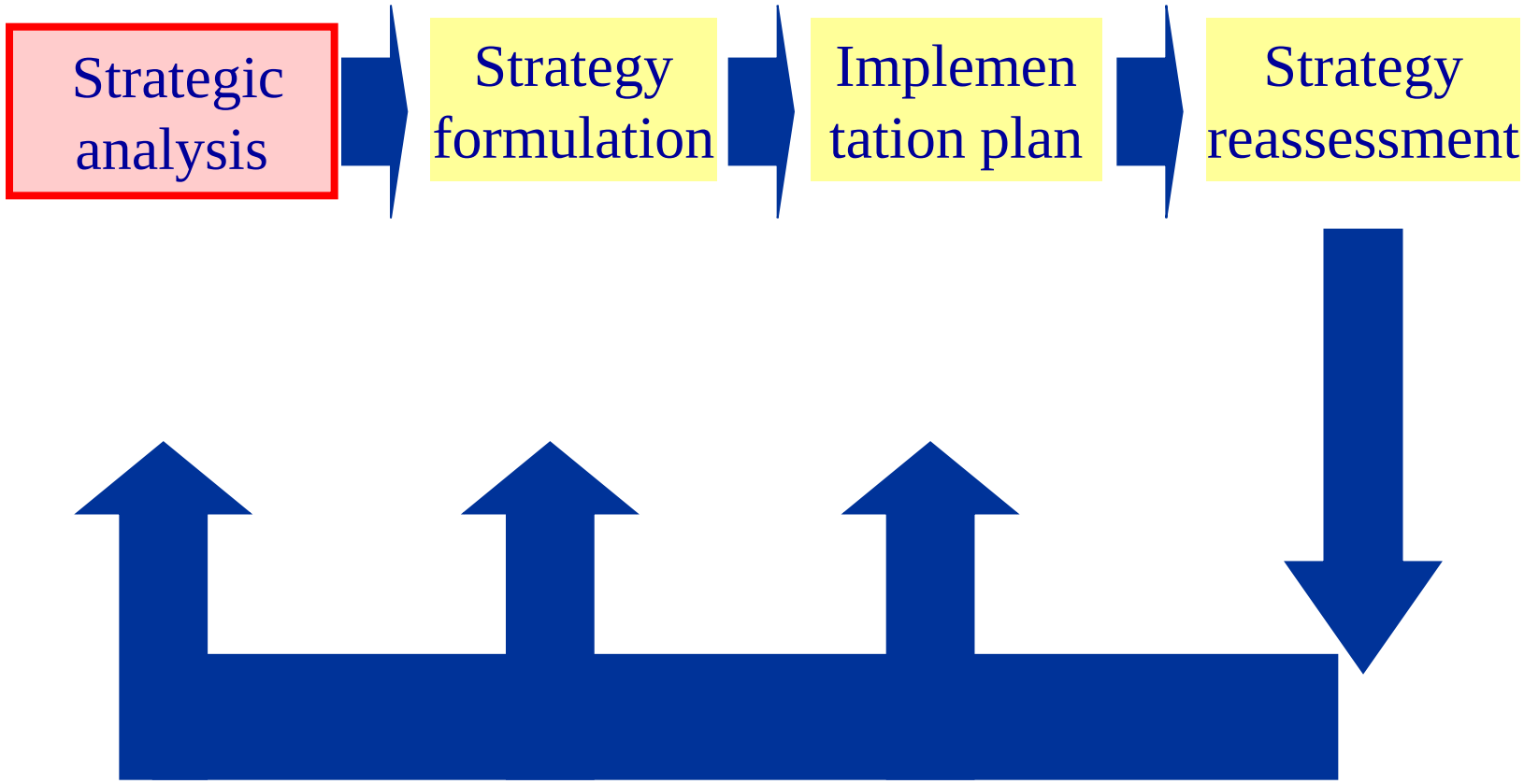


Strategic planning and its context



There are many strategy process models. For other models see Chaffey 2009.

Strategic Planning for Electronic Commerce



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Strategic analysis

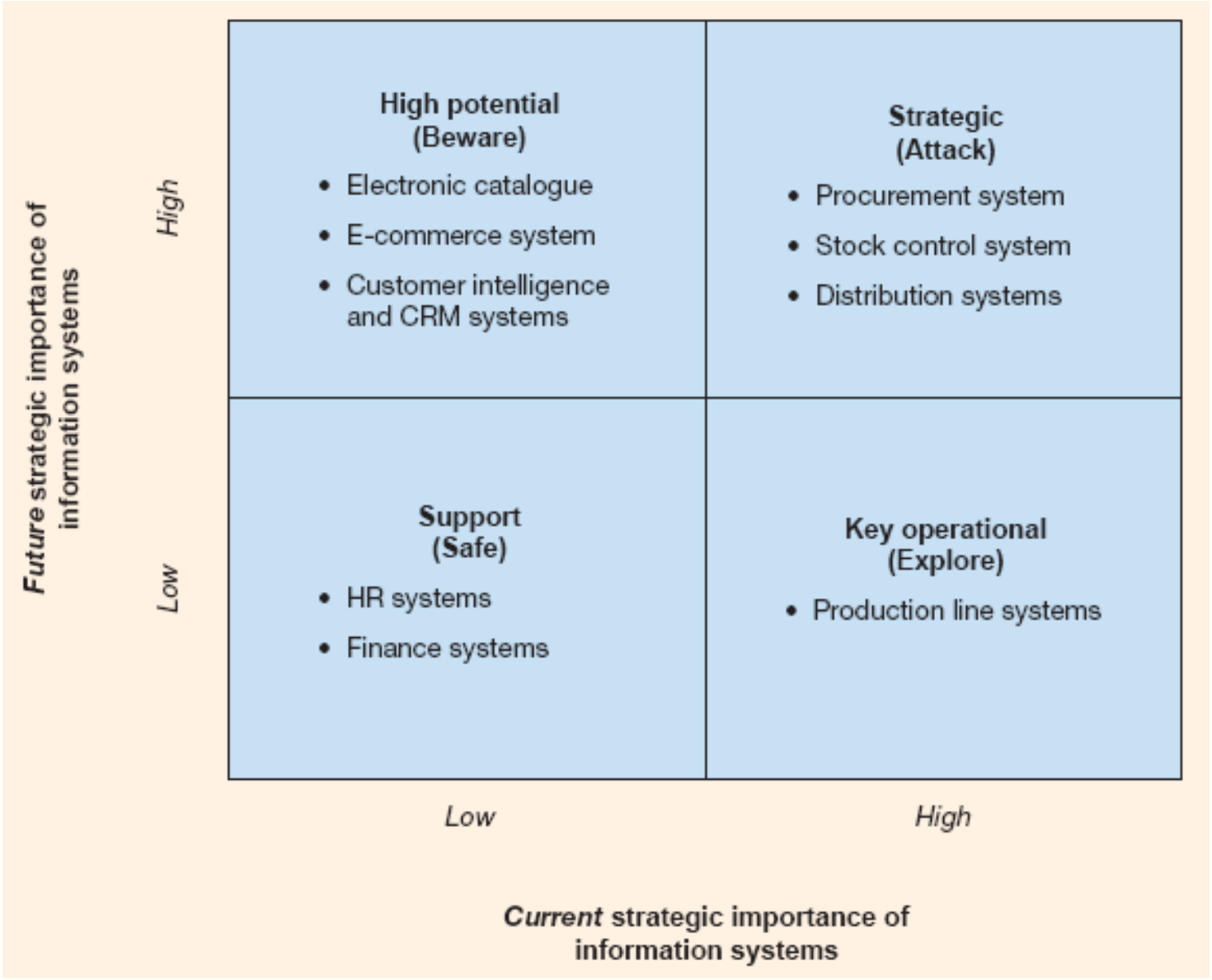
Areas of strategic analysis

- **Internal** resources and processes of the company
- Immediate competitive analysis – **micro** environment
  - customers
  - suppliers
  - intermediaries
  - competitors
- Wider environment – **macro** environment
  - government regulations
  - social and ethical constraints

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Analysis of internal resources and processes

Application portfolio analysis

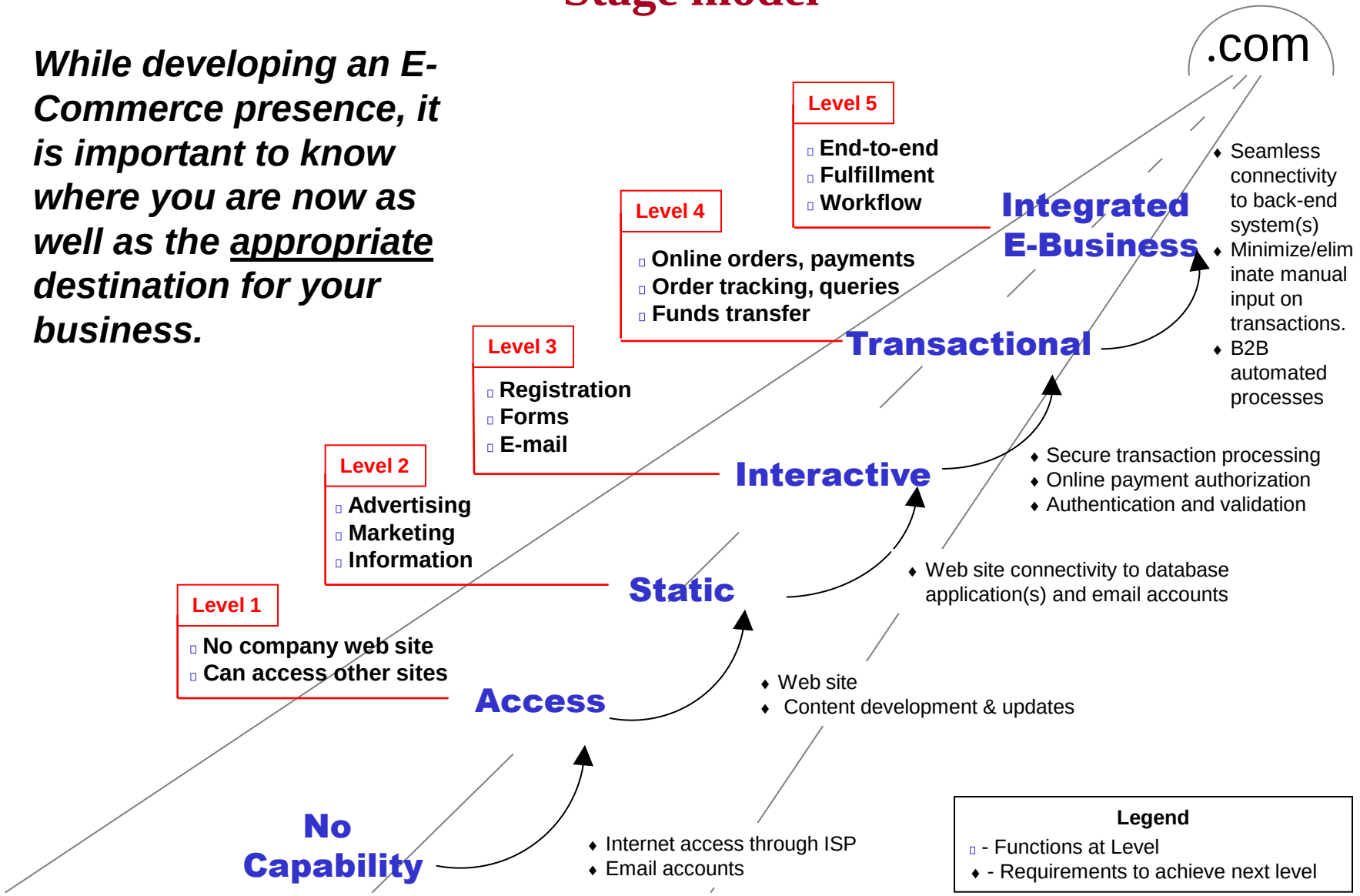


Source: Chaffey 2009

Analysis of internal resources and processes

Stage model

While developing an E-Commerce presence, it is important to know where you are now as well as the <u>appropriate</u> destination for your business.



Adapted from:www.mepcenters.nist.gov/public/ecommerce-summit.nsf

Competitive and environmental analysis

Monitoring, evaluating, disseminating information from external and internal sources

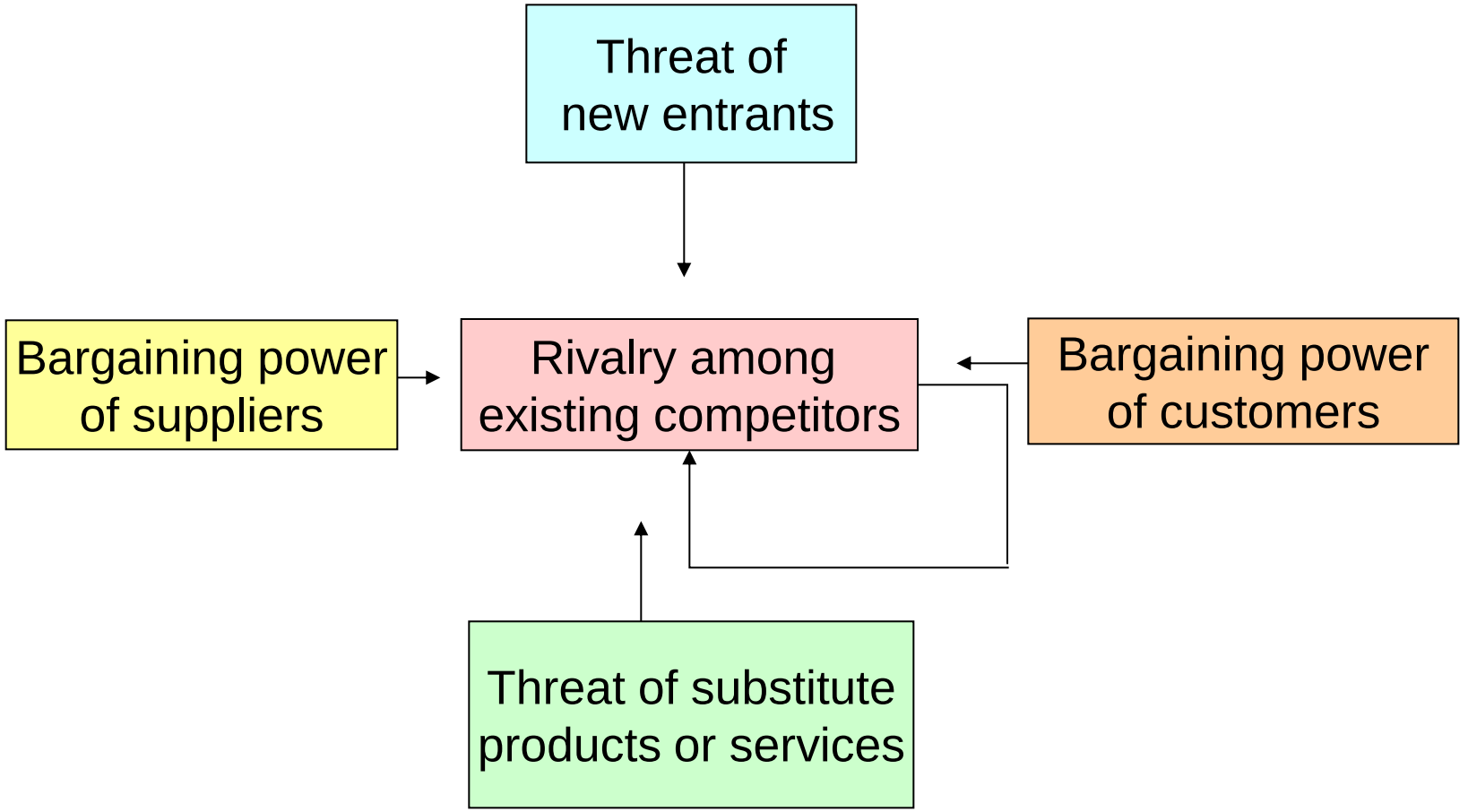
Competitive Intelligence on the Internet

- Review competitor's Web sites
- Analyze related newsgroups
- Examine publicly available financial documents
- Use an information delivery service
- Use research companies
- Solicit opinions in a chat room/forum
- Use generative AI

Competitive and environmental analysis

Porter's 5 forces model

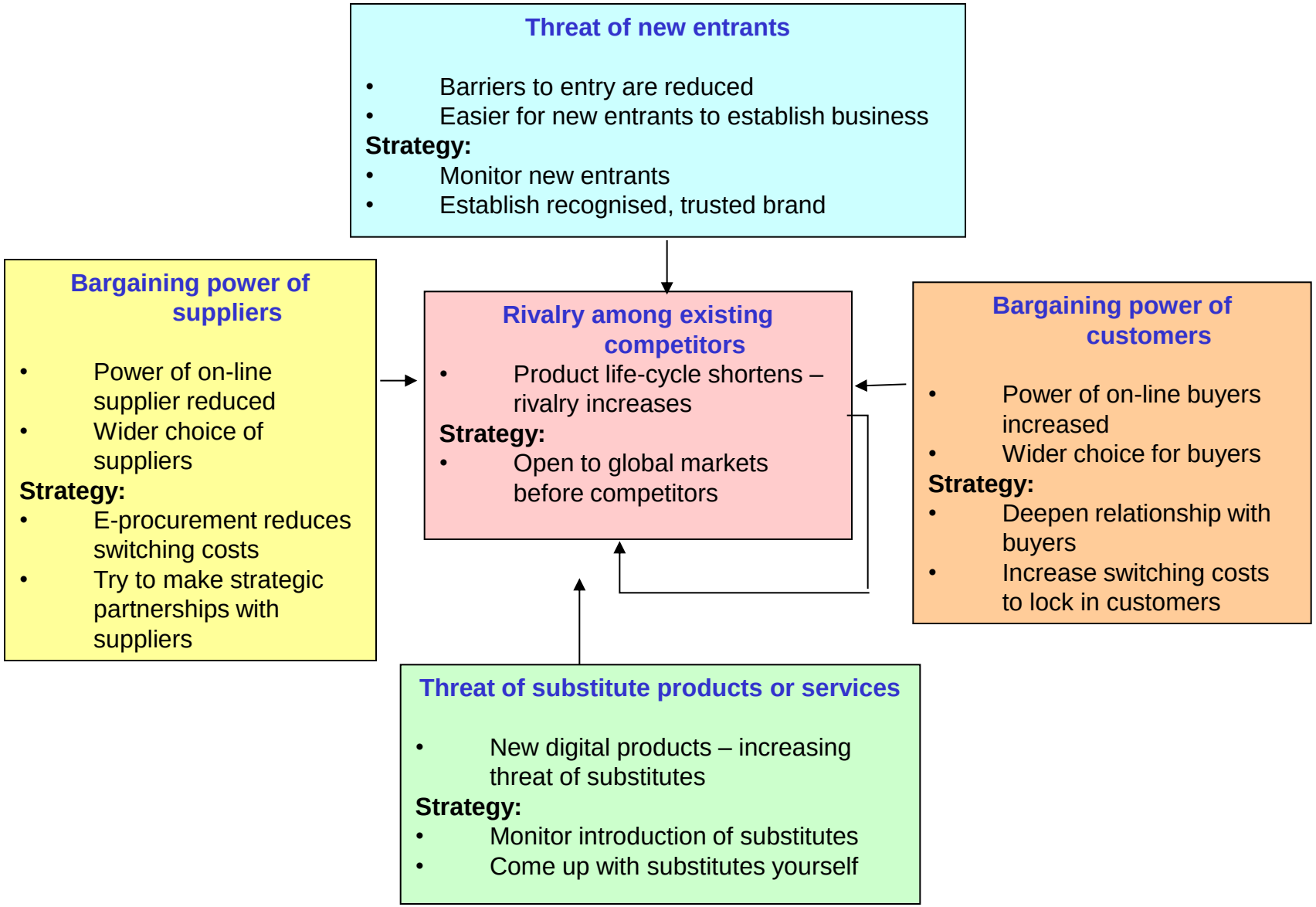
to position yourself on the market and define strategies



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Porter's 5 forces model – an example

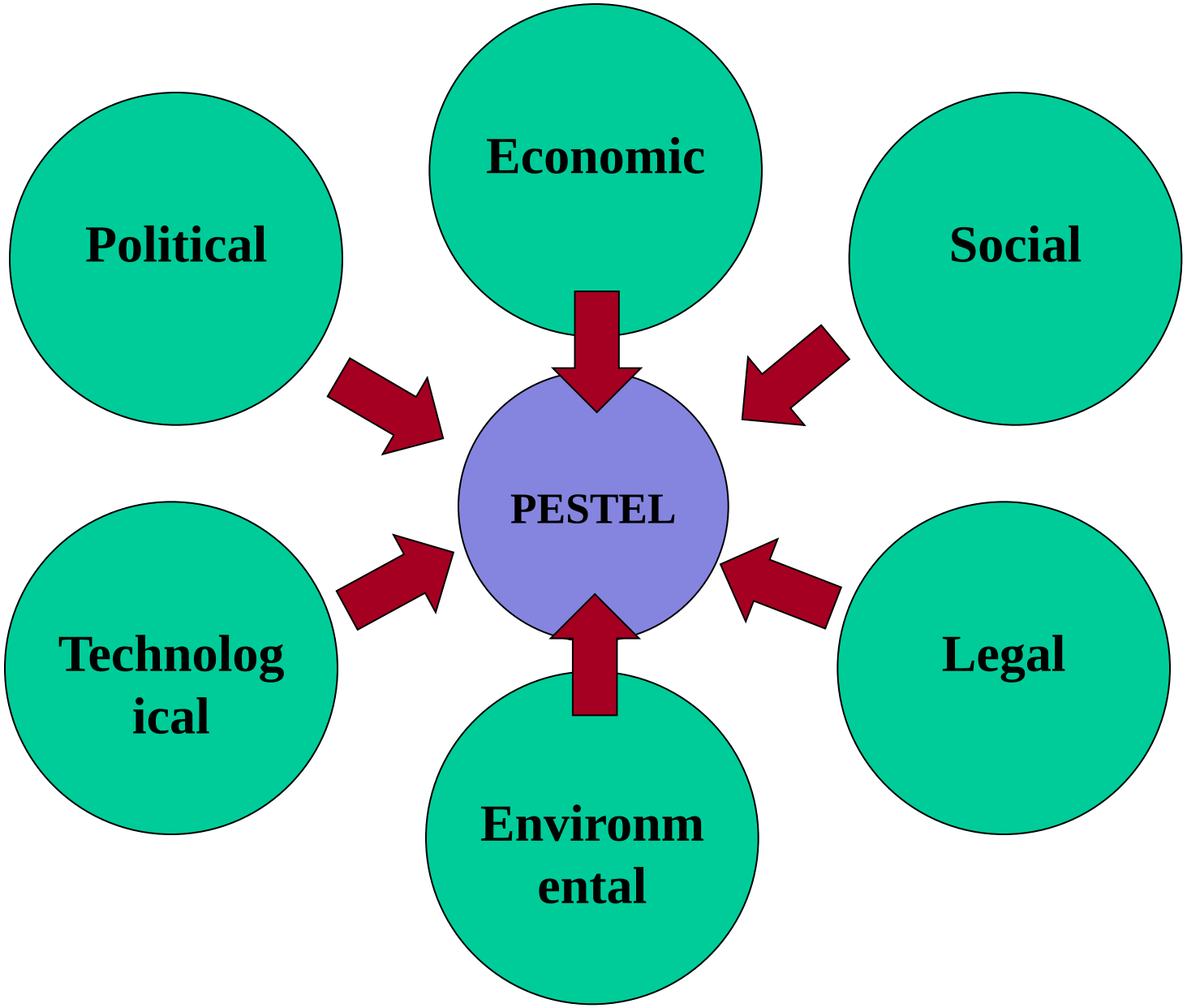
The impact of the internet on business to business commerce in general



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Analysis of the macro environment

PESTLE (PESTEL) analysis



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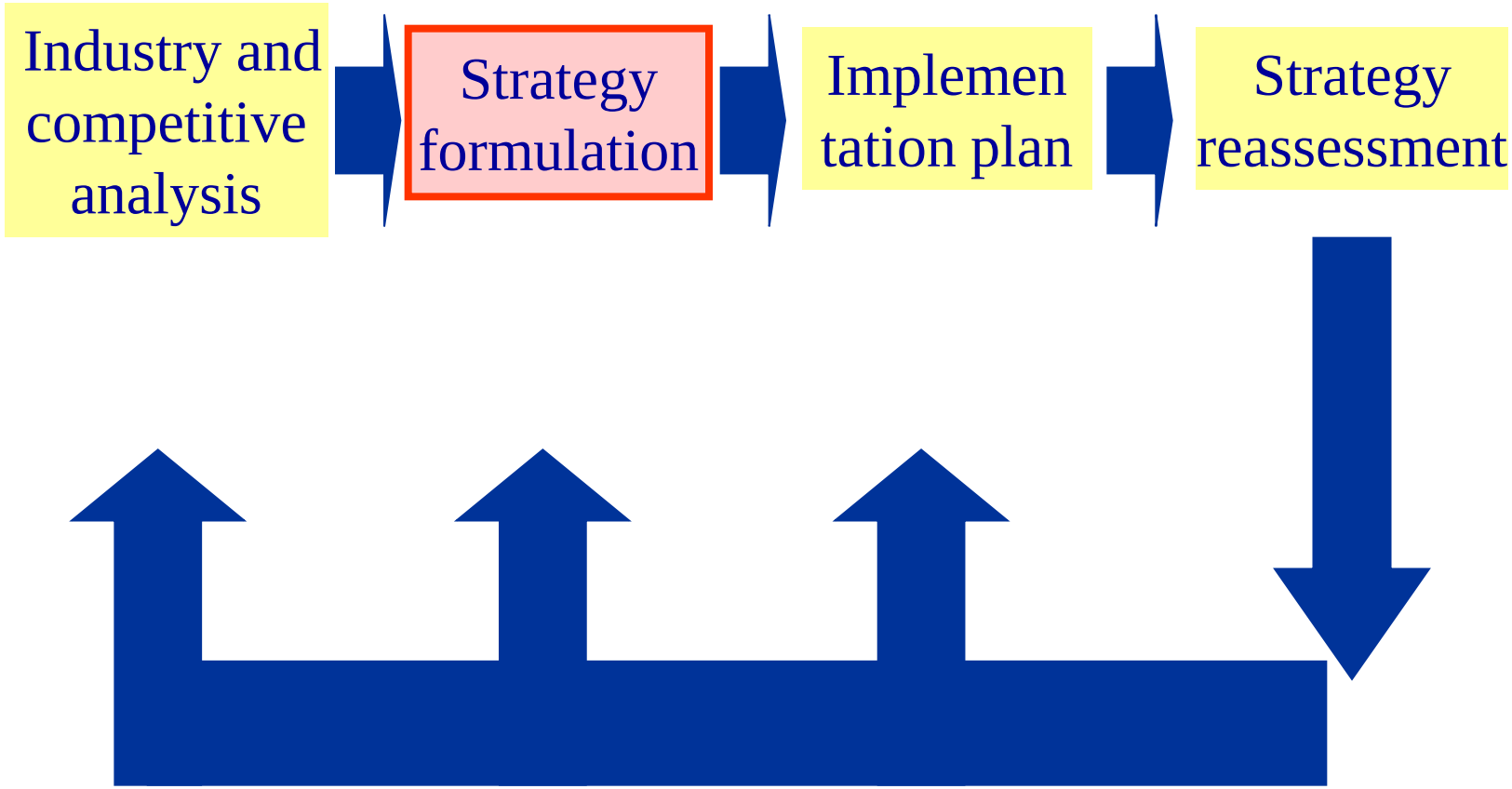
PESTEL Analysis

Questions to answer

- What is the political situation of the country and how can it affect the industry?
- What are the prevalent economic factors?
- How much importance does culture (social aspects) has in the market and what are its determinants?
- What technological innovations are likely to pop up and affect the market structure?
- What are the environmental concerns for the industry?
- Are there any current legislations that regulate the industry or can there be any change in the legislations for the industry?

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Strategic Planning for EC



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Strategy Formulation

Development of long-range plans for the effective management of environmental opportunities and threats in the light of corporate strength and weaknesses.

- **Defining the organization's mission**
  - Purpose or reason for the organization's existence
- **Determining main reasons for establishing Web site**
  - MARKETING, CUSTOMER SUPPORT, SALES, etc.
- **Finding products with good fit for EC**
  - Shipped easily or transmitted electronically
  - Targets knowledgeable buyers
  - Price falls within certain optimum ranges

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Strategy Formulation

Example mission statements

- Our vision is to be earth's most customer-centric company, to build a place where people can come to find and discover anything they might want to buy on-line. ***Amazon.com***

- To organise the world's information and make it universally accessible and useful. ***Google***

- A social utility that helps people communicate more efficiently with their friends, family and co-workers. The company develops technologies that facilitate the sharing of information through the social graph, the digital mapping of people's real-world social connections. Anyone can sign up and interact with the people they know in a trusted environment. ***Facebook***

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Analytical tools for strategy formulation

SWOT matrix analysis

EXTERNAL FACTORS \ INTERNAL FACTORS	Strengths (S)	Weaknesses (W)
Opportunities (O)	**SO Strategies** Generate strategies here that use strengths to take advantages of opportunities	**WO Strategies** Generate strategies here that take advantage of opportunities by overcome weaknesses
Threats (T)	**ST Strategies** Generate strategies here that use strengths to avoid threats	**WT Strategies** Generate strategies here that minimize weaknesses and avoid threats

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Analytical tools for strategy formulation

SWOT matrix analysis – an example

The organisation	Stengths – S 1. Existing brand 2. Existing customer base 3. Existing distribution	Weaknesses – W 1. Brand perception 2. Intermediary use 3. Technology/skills 4. Cross-channel support
Opportunities – O 1. Cross-selling 2. New markets 3. New services 4. Alliances/co-branding	**SO strategies** Leverage strengths to maximise opportunities **= Attacking strategy**	**WO strategies** Counter weaknesses through exploiting opportunities **= Build strengths for attacking strategy**
Threats – T 1. Customer choice 2. New entrants 3. New competitive products 4. Channel conflicts	**ST strategies** Leverage strengths to minimise threats **= Defensive strategy**	**WT strategies** Counter weaknesses and threats **= Build strengths for defensive strategy**

Source: Chaffey 2009

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Analytical tools for strategy formulation

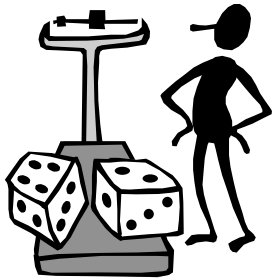
CSF analysis

Critical Success Factors (CSF) method - John Rockart 1979

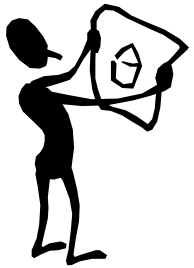
1. **Defining business objectives** (SMART objectives)
2. **Defining key factors that ensure business success**
   - **CSFs:**
     - Those limited number of areas where "things must go right“



3. **Defining measures** of successful achievement of CSF's



4. **Information system** should facilitate **reporting** on CSF



CSF analysis - example

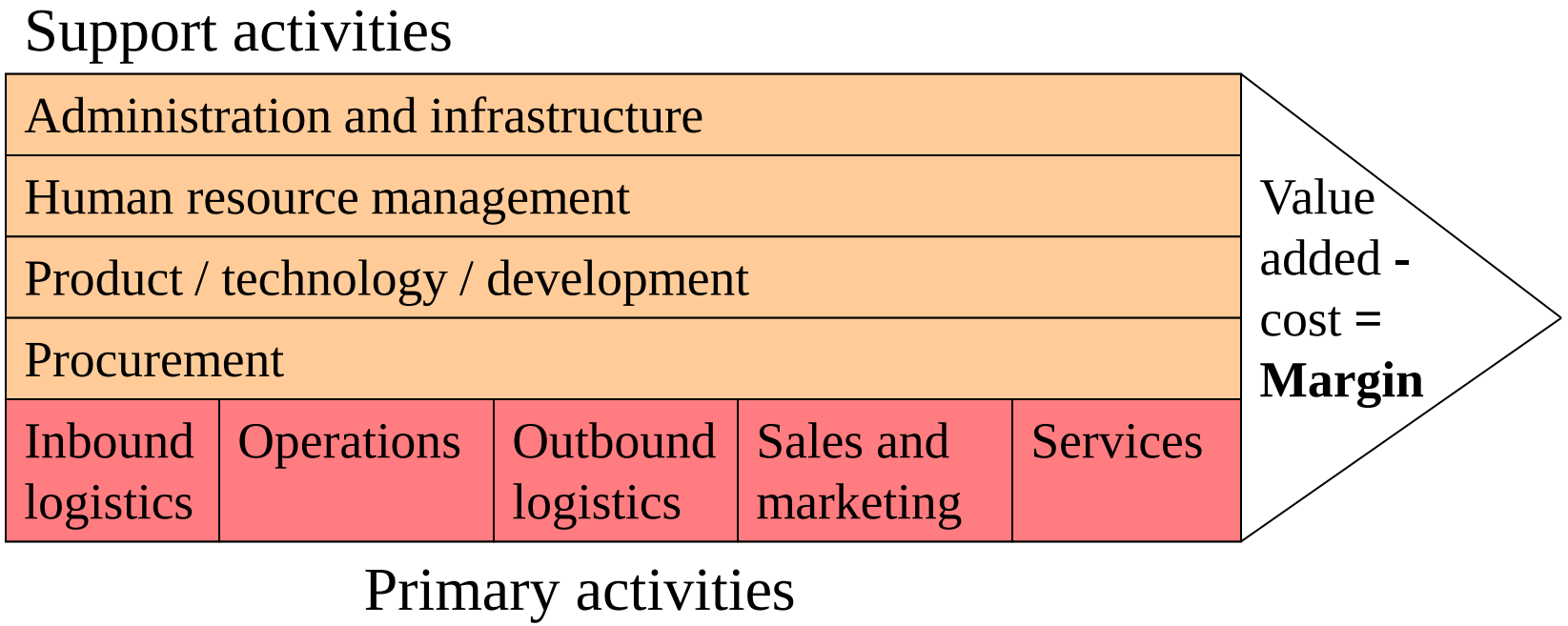
E.g.: On-line bookshop

Business objective:

- Increase market share by 5% yearly
- **CSF**:
  - effective advertising
  - faster order processing
  - faster distribution
- **Measures:**
  - Number of potential customers reached by ads.
  - Number of orders processed daily
  - Average time gap between taking order and delivery
- **Information system requirements**
  - Tracking data on potential customers
  - Monitoring order processing
  - Monitoring distribution
  - Reporting system

Analytical tools for strategy formulation

Porter's value chain analysis



Questions for each activity:

- Can we enhance the value added?
- Can we reduce cost?
- Can we use it to differentiate the organization?

E-commerce strategies

Offensive strategies

- **Offensive strategies -** usually takes place in an established competitor's market
  - Frontal Assault - attacker must have superior resources and willingness to persist
  - Flanking Maneuver - attack a part of the market where the competitor is weak
  - Bypass Attack - cut the market out from under an established defender by offering a new type of product that makes the competitor's product unnecessary
  - Encirclement - greater product variety and/or serves more markets
  - Guerrilla Warfare - use of small, periodic assaults on different market segments held by the competitor

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E-commerce strategies

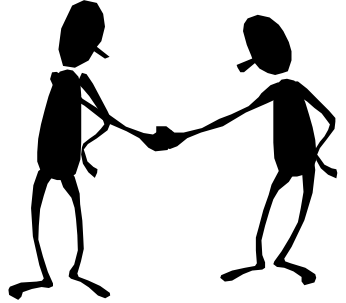
Defensive strategies

- **Defensive strategies -** takes place in the firm's own current market position as a defense against possible attack by a rival
  - Lower the probability of attack
  - Divert attacks to less threatening avenues
  - Lessen the intensity of an attack
  - Make competitive advantage more sustainable

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E-commerce strategies

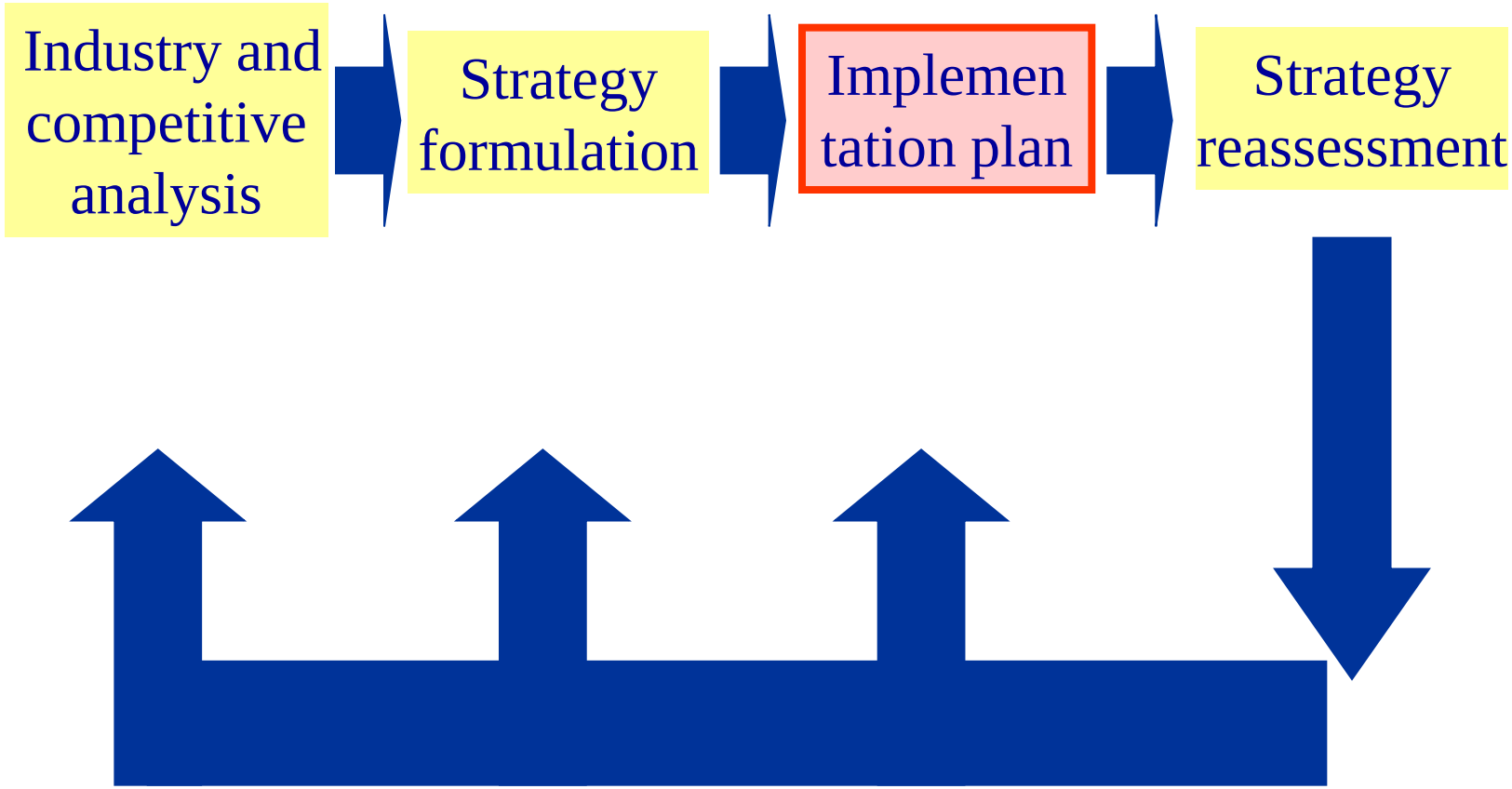
Cooperative strategies



- Collusion - active cooperation of firms within an industry to reduce output and increase prices in order to get around the normal economic law of supply and demand (**illegal**)
- Strategic Alliance - partnership of two or more corporations or business units to achieve strategically significant objectives that are mutually beneficial
- Joint Venture - a way to temporarily combine the different strengths of partners to achieve an outcome of value to both
- Value-Chain Partnership - a strong and close alliance in which one company or unit forms a long-term arrangement with a key supplier or distributor for mutual advantage

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Strategic Planning for EC



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EC Implementation Plan

- Organizing a project team
- Undertaking a few pilot projects (helps discover problems early)
- Implementing EC
  - Redesigning existing business processes
  - Back-end processes must be automated as much as possible
  - Company must set up workflow applications by integrating EC into existing accounting and financial back-ends

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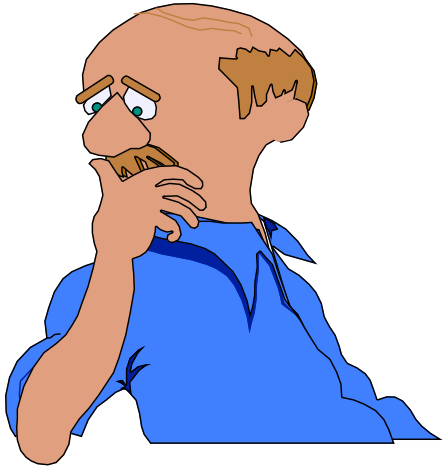
Organization and Staffing

- Define the roles and responsibilities of participants
- Assign tasks to functional areas

	Website design	Building system infrastructure	Business process reengineering	Security and control
Marketing	X		X	
Finance		X	X	X
Accounting	X		X	X
IT	X	X	X	X

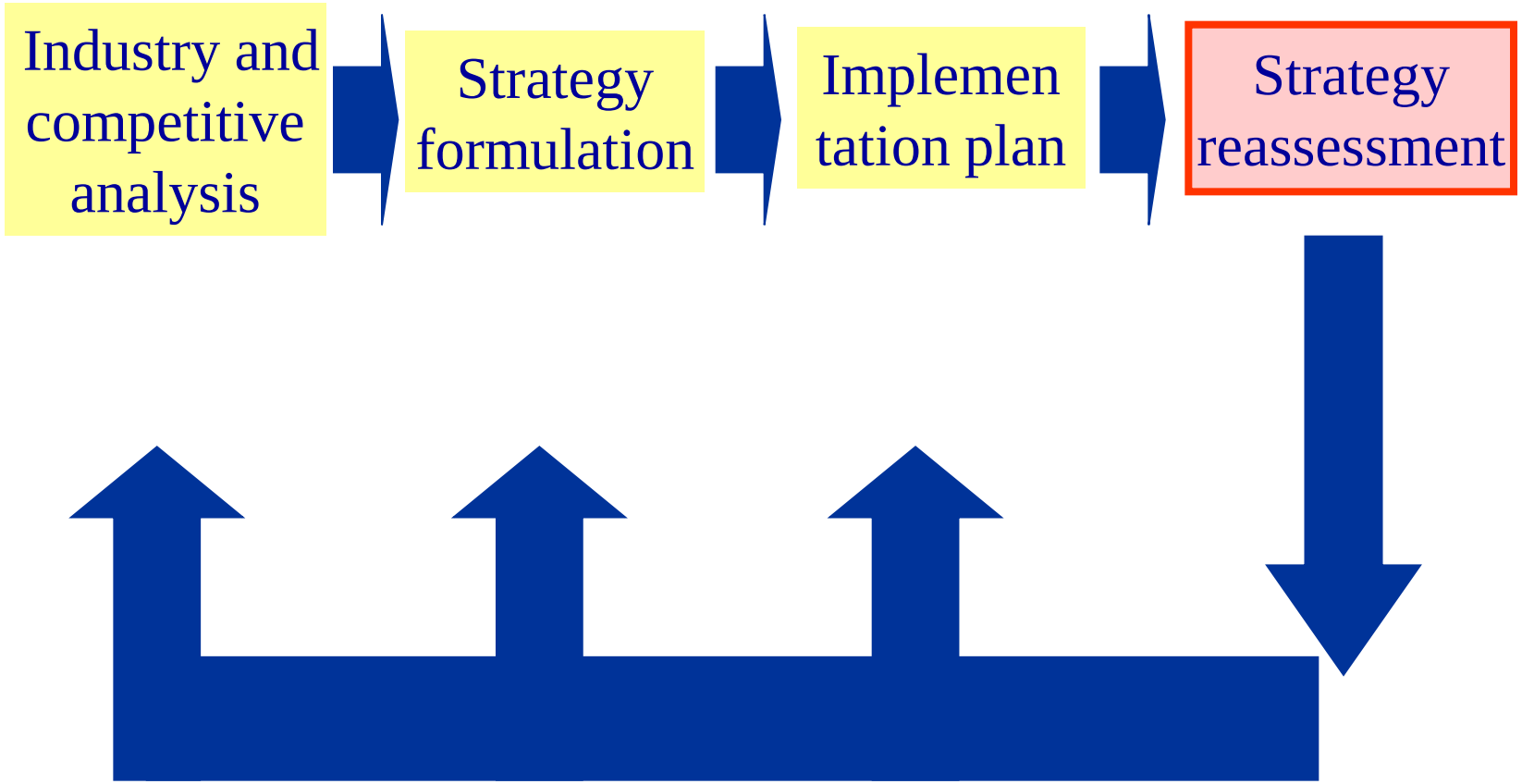
Other Issues of Implementation Plan

- In-house solutions versus outsourcing
- Web hosting
- Web design
- Security and control



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Strategic Planning for EC



Strategy Reassessment

- **Reasons of EC failures**
  - The goals were unrealistic
  - The actual cost savings were not as much as expected
  - Lack of funding
  - Incorrect revenue model
  - Inadequate hardware and software solutions
- **To avoid failure**
  - Develop a checklist
  - Project Team compiles statistics that can be tracked
  - Revisit each phase of EC project

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Any questions?



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